

Demand and Supply

Demand

Demand is the quantity of a good or service that consumers are willing and able to buy at different prices over a given period.

Law of Demand

As price increases, quantity demanded generally decreases, and vice versa, assuming other factors remain constant.

Supply

Supply is the quantity of a good or service that producers are willing and able to offer for sale at different prices.

Law of Supply

As price increases, quantity supplied generally increases, assuming other factors remain constant.

Equilibrium

Market equilibrium occurs where demand equals supply. At this point, the equilibrium price and quantity are established.

Factors Affecting Demand

Income, tastes, prices of related goods, expectations, and number of buyers.

Factors Affecting Supply

Production costs, technology, taxes/subsidies, expectations, and number of sellers.